Northstar Financial Inc. — Annual Report for the year ended December 31, 2023

Commission file number 001-88001. Common stock trades on the NYSE under the ticker NSFI.

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Northstar Financial Inc. is a diversified financial services holding company incorporated in Delaware in 1998.

Management continues to monitor the cover page and corporate profile in the ordinary course of business and reports material changes to the board. Additional narrative item 1 for the cover page and corporate profile.

Internal controls related to the cover page and corporate profile are reviewed annually by the audit committee and by independent registered public accountants. Additional narrative item 2 for the cover page and corporate profile.

Forward-looking statements concerning the cover page and corporate profile are subject to risks and uncertainties described in Item 1A. Additional narrative item 3 for the cover page and corporate profile.

The company believes that disclosure about the cover page and corporate profile is material to an understanding of results of operations and financial condition. Additional narrative item 4 for the cover page and corporate profile.

Comparability of the cover page and corporate profile may be affected by acquisitions, divestitures, foreign-currency translation, and changes in accounting estimates. Additional narrative item 5 for the cover page and corporate profile.

Unless otherwise indicated, figures discussing the cover page and corporate profile are presented in millions of local reporting currency. Additional narrative item 6 for the cover page and corporate profile.

Item 1. Business Overview

Northstar Financial Inc. operates three reportable segments: Wealth Management, Commercial Lending, and Insurance Brokerage. Principal executive offices are located at 400 Harbor Plaza, Stamford, Connecticut 06902.

The Wealth Management segment provides advisory and custody services to high-net-worth clients. Commercial Lending originates senior secured loans to middle-market companies. Insurance Brokerage places property and casualty coverage for corporate clients.

Management continues to monitor business overview and segment operations in the ordinary course of business and reports material changes to the board. Additional narrative item 1 for business overview and segment operations.

Internal controls related to business overview and segment operations are reviewed annually by the audit committee and by independent registered public accountants. Additional narrative item 2 for business overview and segment operations.

Forward-looking statements concerning business overview and segment operations are subject to risks and uncertainties described in Item 1A. Additional narrative item 3 for business overview and segment operations.

The company believes that disclosure about business overview and segment operations is material to an understanding of results of operations and financial condition. Additional narrative item 4 for business overview and segment operations.

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Item 6. Selected Financial Data

The following selected consolidated financial data is for Northstar Financial Inc. for the year ended December 31, 2023.

Total revenues were $12.40 billion in 2023, compared with $11.15 billion in 2022.

Net income attributable to common shareholders was $1.85 billion. Diluted earnings per share were $4.12.

Segment revenues: Wealth Management $6.21 billion; Commercial Lending $4.08 billion; Insurance Brokerage $2.11 billion.

The effective tax rate was 21.4% in 2023, compared with 22.1% in 2022.

[TABLE] Metric | 2023 | 2022

Total revenues ($ millions) | 12,400 | 11,150

Net income | 1,850 | 1,420

Diluted EPS ($) | 4.12 | 3.18

Effective tax rate | 21.4% | 22.1% [/TABLE]

Management continues to monitor selected financial data and results of operations in the ordinary course of business and reports material changes to the board. Additional narrative item 1 for selected financial data and results of operations.

Internal controls related to selected financial data and results of operations are reviewed annually by the audit committee and by independent registered public accountants. Additional narrative item 2 for selected financial data and results of operations.

Forward-looking statements concerning selected financial data and results of operations are subject to risks and uncertainties described in Item 1A. Additional narrative item 3 for selected financial data and results of operations.

The company believes that disclosure about selected financial data and results of operations is material to an understanding of results of operations and financial condition. Additional narrative item 4 for selected financial data and results of operations.

Comparability of selected financial data and results of operations may be affected by acquisitions, divestitures, foreign-currency translation, and changes in accounting estimates. Additional narrative item 5 for selected financial data and results of operations.

Item 1A. Risk Factors

Credit losses in the Commercial Lending segment could increase if middle-market default rates rise.

A 100 basis-point increase in credit loss provisions would have reduced 2023 pre-tax income by approximately $210 million.

Market declines of 15% in equity values would reduce Wealth Management fee revenue by an estimated $430 million.

Cybersecurity incidents remain a material operational risk for client data and transaction processing.

Management continues to monitor risk factors and market, credit, and operational risk in the ordinary course of business and reports material changes to the board. Additional narrative item 1 for risk factors and market, credit, and operational risk.

Internal controls related to risk factors and market, credit, and operational risk are reviewed annually by the audit committee and by independent registered public accountants. Additional narrative item 2 for risk factors and market, credit, and operational risk.

Forward-looking statements concerning risk factors and market, credit, and operational risk are subject to risks and uncertainties described in Item 1A. Additional narrative item 3 for risk factors and market, credit, and operational risk.

The company believes that disclosure about risk factors and market, credit, and operational risk is material to an understanding of results of operations and financial condition. Additional narrative item 4 for risk factors and market, credit, and operational risk.

Comparability of risk factors and market, credit, and operational risk may be affected by acquisitions, divestitures, foreign-currency translation, and changes in accounting estimates. Additional narrative item 5 for risk factors and market, credit, and operational risk.

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Item 7. Management's Discussion and Analysis

Wealth Management was the largest contributor to 2023 revenue, generating $6.21 billion, or 50.1% of total revenues.

Assets under management ended the year at $412 billion, up 9% year over year.

The Board of Directors declared a cash dividend of $1.48 per common share in 2023, paid quarterly at $0.37 per share.

Share repurchases totaled $640 million during 2023.

Management continues to monitor management discussion and analysis of financial condition in the ordinary course of business and reports material changes to the board. Additional narrative item 1 for management discussion and analysis of financial condition.

Internal controls related to management discussion and analysis of financial condition are reviewed annually by the audit committee and by independent registered public accountants. Additional narrative item 2 for management discussion and analysis of financial condition.

Forward-looking statements concerning management discussion and analysis of financial condition are subject to risks and uncertainties described in Item 1A. Additional narrative item 3 for management discussion and analysis of financial condition.

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Item 1. Employees and Properties

As of December 31, 2023, Northstar Financial Inc. employed 18,420 people, of whom 11,200 were in the United States.

The company leased 2.4 million square feet of office space. No single office other than the Stamford headquarters accounted for more than 10% of total square footage.

Management continues to monitor human capital, properties, and leased facilities in the ordinary course of business and reports material changes to the board. Additional narrative item 1 for human capital, properties, and leased facilities.

Internal controls related to human capital, properties, and leased facilities are reviewed annually by the audit committee and by independent registered public accountants. Additional narrative item 2 for human capital, properties, and leased facilities.

Forward-looking statements concerning human capital, properties, and leased facilities are subject to risks and uncertainties described in Item 1A. Additional narrative item 3 for human capital, properties, and leased facilities.

The company believes that disclosure about human capital, properties, and leased facilities is material to an understanding of results of operations and financial condition. Additional narrative item 4 for human capital, properties, and leased facilities.

Comparability of human capital, properties, and leased facilities may be affected by acquisitions, divestitures, foreign-currency translation, and changes in accounting estimates. Additional narrative item 5 for human capital, properties, and leased facilities.

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Item 9B. Other Information — Subsequent Events

On January 12, 2024, subsequent to year end, Northstar announced an agreement to acquire Harbor Trust Partners for $780 million in cash.

The transaction is expected to close in the third quarter of 2024, subject to regulatory approvals.

Harbor Trust managed $28 billion of client assets as of December 31, 2023.

Management continues to monitor subsequent events and pending acquisitions in the ordinary course of business and reports material changes to the board. Additional narrative item 1 for subsequent events and pending acquisitions.

Internal controls related to subsequent events and pending acquisitions are reviewed annually by the audit committee and by independent registered public accountants. Additional narrative item 2 for subsequent events and pending acquisitions.

Forward-looking statements concerning subsequent events and pending acquisitions are subject to risks and uncertainties described in Item 1A. Additional narrative item 3 for subsequent events and pending acquisitions.

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